O03 / OPERATING ENTRIES

Record purchases, payables and fees

Bookkeeping / Journal / Post Transaction

Decide whether the item was consumed, held in stock, prepaid or capitalized, and whether it has already been paid.

01 **Recognize the purchase**

Debit the supported expense, inventory, prepaid or fixed-asset account. Separate recoverable tax only where supported. Credit the actual cash/bank for immediate payment or the supplier payable for an unpaid invoice.

02 **Handle partial settlement**

On the payment date debit the same supplier payable and credit the paying fund. Record invoice number, currency and amount settled so the remaining balance can be identified.

03 **Separate bank fees**

Use the bank advice to distinguish supplier payment from service charges. Debit the fee account separately. For a foreign fee confirm its own mapping and LAK counterpart.

04 **Handle employee purchases**

If someone used personal funds, credit an employee reimbursement payable or approved clearing account. Match the later repayment to that balance. Check whether the cost was already recorded before entering a claim.

Supplier example · LAK

Invoice 600,000: debit supplies 600,000 and credit supplier payable 600,000. Pay 400,000: debit payable and credit bank 400,000. The unpaid invoice balance is 200,000.

Before you finish

The expense or asset should appear once. The payable should explain exactly what remains unpaid.